Australian Business Conditions and Confidence, September

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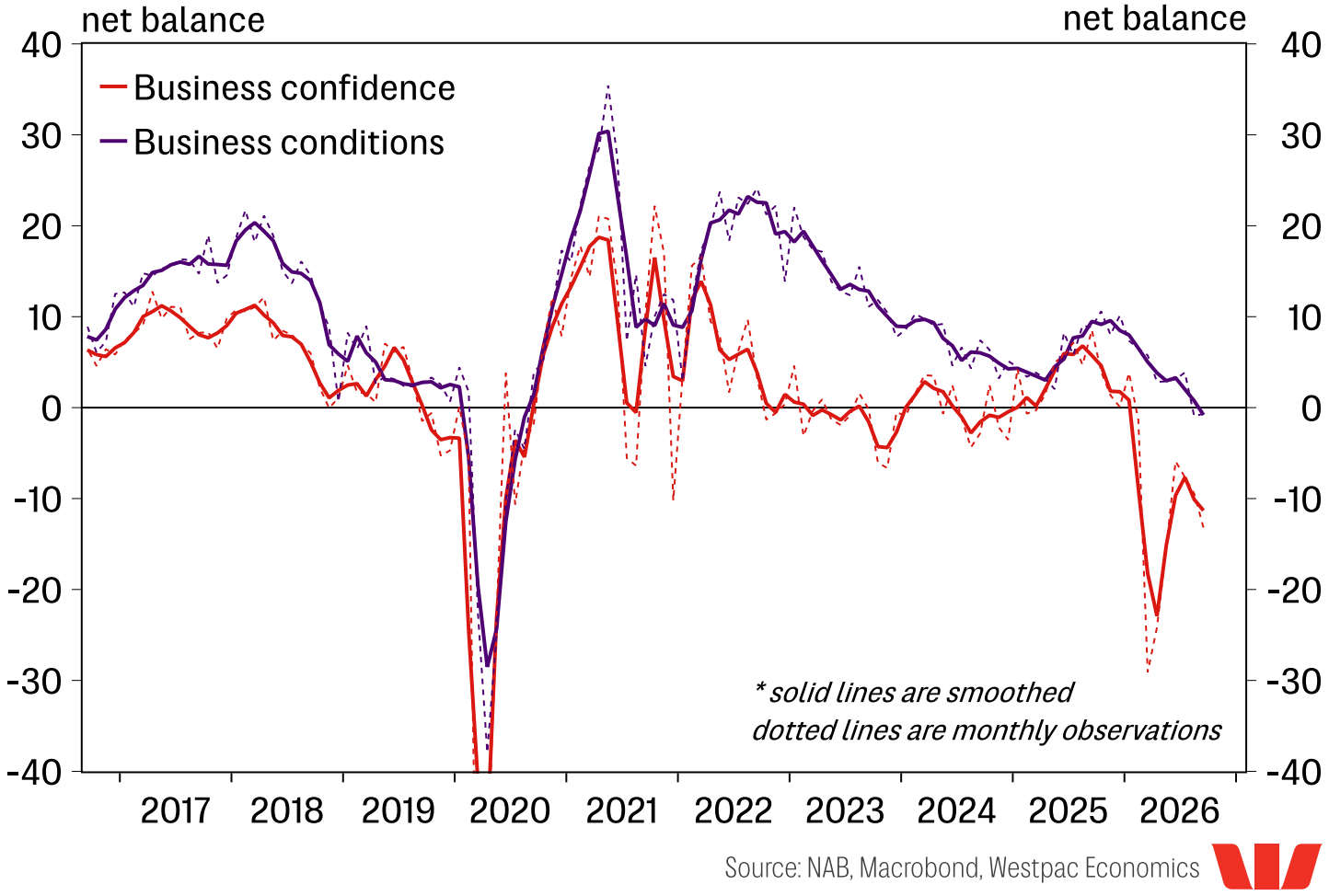
Confidence posts its sharpest fall since the start of the Middle East conflict as elevated fuel prices and higher interest rates weigh on business sentiment, while conditions hold steady at weak levels. Conditions unchanged at -1 / Confidence -4pts to -13.



The September NAB Business Survey was in the field from 23 to 30 September, capturing ongoing global uncertainty, still-rising fuel costs and, at least in part, the RBA's September rate hike. Business confidence continued to deteriorate, recording its sharpest fall since March and the onset of the Middle East conflict. The index declined 4pts to -13 and, while remaining above the lows recorded earlier this year, is now at its weakest level since May. At 18pts below its long-run average, the result underscores the deep pessimism that continues to weigh on businesses. This broadly mirrors the pessimism evident in the Westpac-Melbourne Institute Consumer Sentiment Index, where elevated fuel prices and higher interest rates have coalesced in a similarly weak assessment of the outlook.

The headline business conditions index held steady in negative territory at -1, albeit rising 0.25pts on an unrounded basis. While encouraging that conditions have not deteriorated further, the index has now remained at -1 (rounded) for two consecutive months, its weakest level since the height of the COVID-19 pandemic in 2020. At 7pts below its long-run average, the result points to continued pressure across the business sector.

Business conditions and confidence



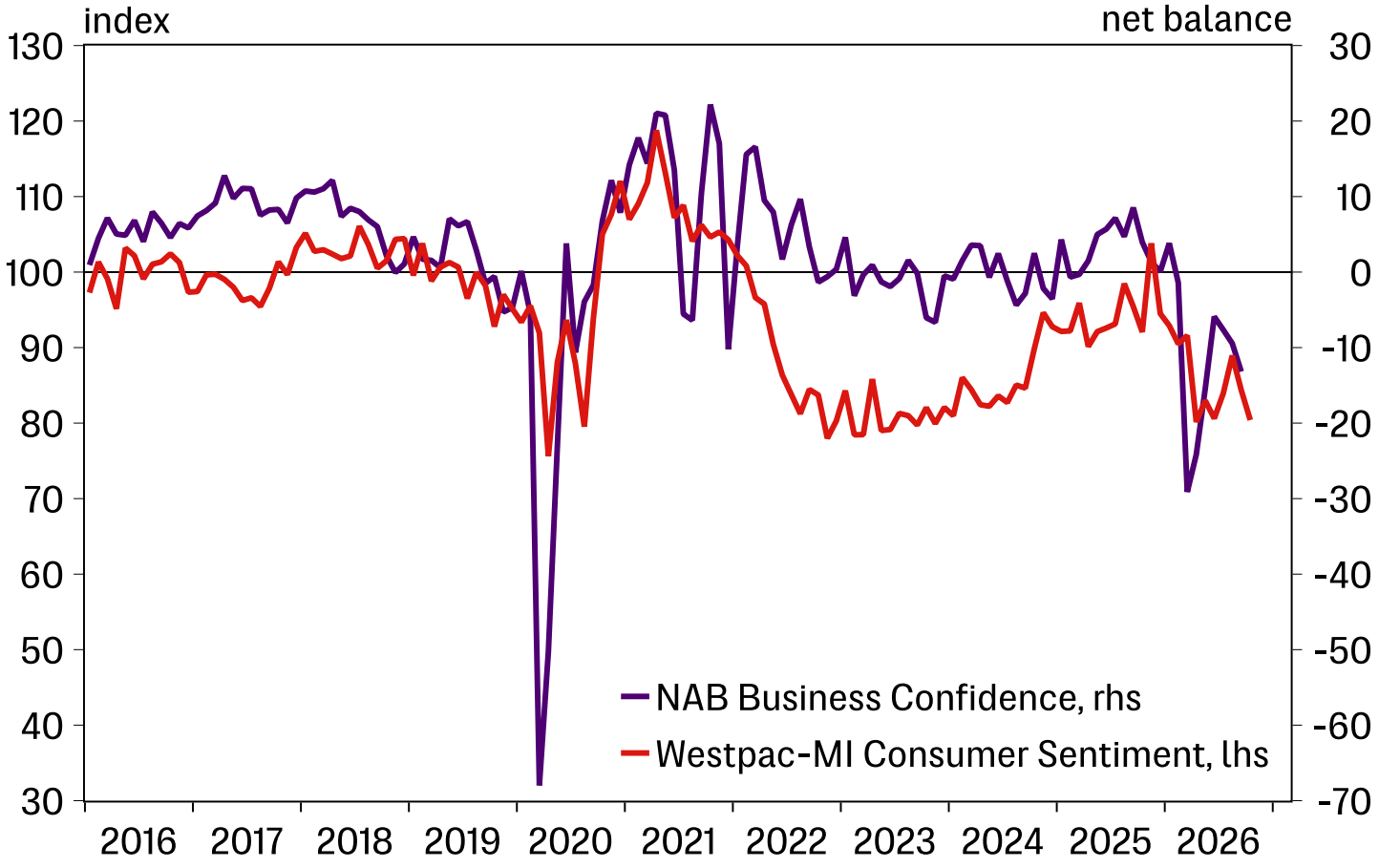
Source: NAB, Macrobond, Westpac Economics

Across the major sub-components, employment moved into negative territory, falling 3pts to -1 and sitting 4pts below its long-run average. This marks the first outright negative reading since November 2020 and provides further evidence of the gradual easing in labour market conditions. Against the backdrop of compressed margins, the result may also indicate firms are becoming increasingly cautious around hiring decisions. By contrast, trading conditions rose 1pt to 4, although they remain 8pts below their long-run average. The relative resilience in trading conditions is broadly consistent with

Westpac DataX Card-Tracker data, which suggests nominal spending remained resilient, albeit slowing, through the September quarter despite ongoing headwinds facing consumers. Profitability recorded the strongest improvement across the major components, rising 3pts to -5, although the sub-index remains deeply subdued at 10pts below its long-run average.

Capacity utilisation edged 0.2ppt lower to 82.3%. While the monthly decline provides a tentative signal of easing capacity pressures, utilisation remains 0.9ppt above its long-run average and continues to trend higher on a three-month average basis. Capital expenditure continued to recover from its mid-year weakness, rising 3pts to 7. While still below the highs recorded in the first quarter, the sub-index is now trending higher on a three-month average basis, pointing to some stabilisation in investment intentions.

Consumer vs Business Confidence

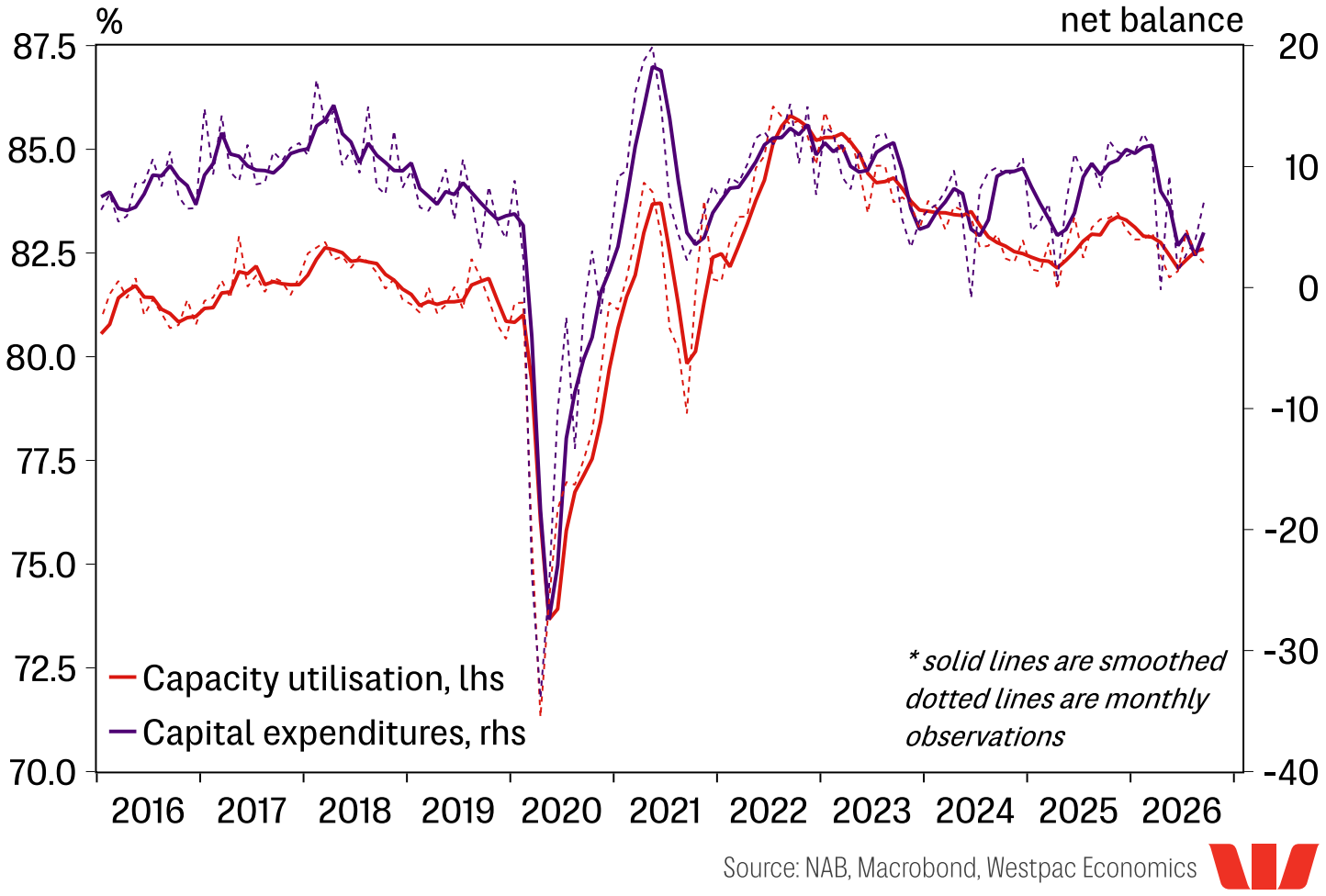


Source: NAB, Melbourne Institute of Applied Economic & Social Research, Macrobond, Westpac Economics

Cost growth was comparatively subdued in September, although purchase cost pressures remain elevated. Purchase cost growth edged 0.1ppt higher to 2.4%qtr, sitting 1.1ppt above its long-run average and continuing to weigh on margins. By contrast, labour cost growth eased 0.1ppt to 1.7%qtr, although it remains 0.5ppt above its long-run average. Final product price growth was unchanged at 0.8%qtr, 0.2ppt above its long-run average. The widening gap between purchase cost and final product price growth suggests firms continue to absorb a meaningful share of higher input costs, consistent with profitability remaining deeply below average. Looking ahead, the October survey will provide an early indication of how the card surcharging ban is affecting business costs and the extent to which these are passed through to final prices.

Among other indicators, forward orders declined 1pt to -1, pointing to continued caution around the demand outlook. Inventories, by contrast, rose 4pts (rounded) to 7, some 5pts above their long-run average. In combination with weak forward orders, the inventory build points to a degree of slack emerging across the business sector.

Capacity utilisation and capital expenditures



Source: NAB, Macrobond, Westpac Economics

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